Practice workbook · Total revenue from direct or indirect taxes

Adding the revenue from only direct taxes (on income and profits) or only indirect taxes (on spending) from a government revenue table.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-20

1. Question 1 · part e · 2 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

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(c) What is meant by the term monetary policy?

(2)

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1. Question 1 · part e · 2 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(d) Describe **one** advantage of privatisation for a government.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business taxes	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working.

(2)

P 7 2 9 7 0 R A 0 3 2 4

3

Turn over ▶

1. Question 1 · part e · 2 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

In March 2023, the Government of Ghana announced it was removing fuel subsidies on petroleum.

(f) Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

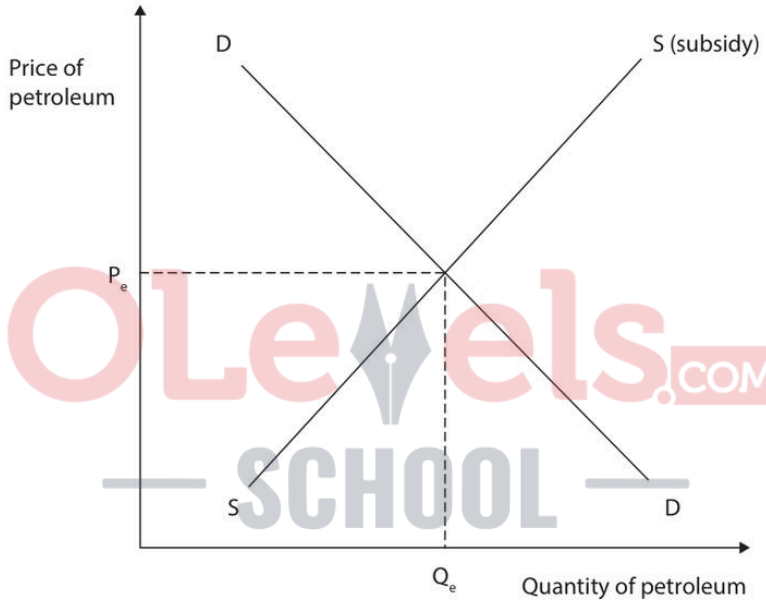


Figure 2

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1. Question 1 · part e · 2 marks · Working and answer

Working and answer

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2. Question 3 · part a · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by indirect taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) Member countries of a trading bloc agree to

(1)

- ☒ **A** trade together with low or no barriers
- ☒ **B** have the same rate of income tax
- ☒ **C** only trade with members within the bloc
- ☒ **D** have common borders between members

Brazil currently only allows a quota of 600 million litres of ethanol per year to be imported from the US.

(c) Explain **one** advantage of using quotas for a country such as Brazil.

(3)

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2. Question 3 · part a · 1 mark · Working and answer

Working and answer

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3. Question 3 · part a · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a only.

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(b) A government can try to stop its exchange rate from appreciating by

(1)

- ☒ **A** increasing interest rates
- ☒ **B** selling its reserves of foreign currency
- ☒ **C** buying its own currency
- ☒ **D** selling its own currency

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3. Question 3 · part a · 1 mark · Working and answer

Working and answer

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4. Question 1 · part e · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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4. Question 1 · part e · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

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(d) Describe **one** way business activity can damage the environment.

(2)

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Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.

(2)

4. Question 1 · part e · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

In January 2023, China introduced a quota on imports of crude oil into the country.

(f) Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

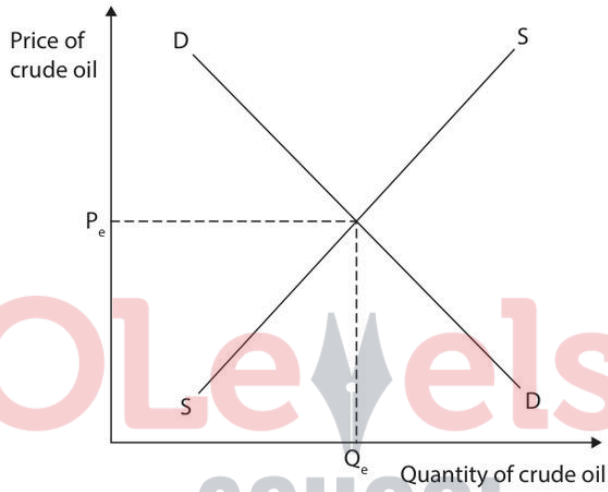


Figure 2

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4. Question 1 · part e · 2 marks · Working and answer

Working and answer

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